

Docket No. 2015-8

Section 1201 Study

**Reply Comments of the Software and Information Industry
Association**

April 1, 2016

Introduction

From SIIA's perspective, the initial comments fall into several general groups. The first consists of copyright owners and technology companies who believe that the statute is working well, but acknowledge that the rulemaking has become cumbersome for the Office, and have suggested some ways that the proceeding can be streamlined.¹ The second consists of comments that bemoan both the cumbersome nature of the rulemaking, and the fact that Congress passed the statute in the first instance, and urge its repeal.² The third sees problems with the statute because it theoretically prevents users from doing what they want with computer software contained in devices that they may own (regardless of their relationship to the software).³

Despite a large divergence of viewpoints on the wisdom of the statute itself, some consensus does exist over the desirability of streamlining the rulemaking process. Nonetheless, commenters do not agree over the standard to be employed in that process, and whether streamlining the proceeding requires statutory amendment.⁴

¹ *E.g.*, Joint Comments of the AAP, MPAA and RIAA, at 4-9 (listing variety of successful distribution models reliant on 1201) [hereinafter "Joint Creators"]; Comments of the Entertainment Software Industry at 2-4.

² *E.g.*, Comments of the American Association of Universities et al. at 2; Library Copyright Alliance at 3; Comments of the Electronic Frontier Foundation at 2-3.

³ *E.g.*, Owner's Rights Initiative Comments, at 3; Electronic Frontier Foundation Comments, at 3.

⁴ *Compare, e.g.*, American Intellectual Property Law Association Comments at 2 (suggesting amendment to the statute needed to streamline proceeding) with Alliance of Automobile

In several instances, that disagreement comes from divergent interpretations of the legislative history.⁵

SIIA focuses its reply comments on two issues. First, the interpretation of the statute (and its legislative history) represents a question that the Office asked and answered correctly in the year 2000.⁶ Indeed, despite dire predictions of gloom and doom at the time the statute passed, the existing record provides ample evidence that the statute has functioned well, and largely as intended. And despite the rulemaking's growth, certain aspects of administrative law provide the office with the necessary leeway to streamline the proceeding and acknowledge marketplace realities.

Second, several commenters insist that the DMCA is creating problems with software innovation, and that amendment of the statute is necessary to prevent it from sweeping more broadly than intended. That premise assumes a false dichotomy between technology and content companies –a suggestion that SIIA wholeheartedly rejects.

The Premise of Section 1201 has Proven Successful

Some commenters have taken this opportunity to reassert their long-standing positions that Congress considered and chose to reject during the statute's passage. What is missing from these suggestions is evidence that section 1201's anti-circumvention and trafficking bans have had a negative effect on the availability of motion pictures, books, educational materials, enterprise software, or consumer software. The evidence uniformly points in the other direction.⁷

In fairness to these dissatisfied groups, this particular point tends to be asserted, but not vigorously pursued. Instead, it serves to frame requests to change the rulemaking such that proponents of

Manufacturers Comments at 6-7 (suggesting use of administrative notice).

⁵ *E.g.*, Harvard Cyberlaw Clinic Comments at 2, 5-7.

⁶ Exemption to Prohibition from Circumvention on Copyright Protection Systems for Access Control Technologies, 65 Fed. Reg. 64556, 64558 & n. 4 (Oct. 27, 2000).

⁷ *E.g.*, Comments of the Copyright Alliance at 5-10 (listing a variety of businesses dependent on section 1201); Joint Creators, *supra* n. 1, at 4-9. Kernochan Center Comments, at 2 (noting development of different means of providing works to consumers digitally).

exemptions have an easier time in making their case. The justification for that position stems from a reading of the legislative history asserting that the House Manager's Report has no bearing on the meaning of section 1201.⁸ These arguments, however, fail to discuss the fact that the language of section 1201 changed between the time of the Commerce Committee report and its ultimate enactment.⁹

Significantly, the rulemaking's focus changed from any adverse effects involving "implementation of technological protection measures" to only those caused "by virtue of such prohibition [on circumvention] in their ability to make non-infringing uses of that particular class of works under this title."¹⁰ Under its plain language, the statute requires the prohibition on circumvention to be the cause of an alleged adverse effect, not the mere presence of a technological measure. The intention behind that language is explained in the House Manager's Report, which instructs the Secretary of Commerce (later changed to the Register of Copyrights) to exclude other possible causes, such as changes in ways of distributing works.¹¹ The provision of strong protection against circumvention to all copyright owners, Congress reasoned, would result in the proliferation of different business models. Where the law caused problems for users, the rulemaking has acted in its intended role as a fail-safe.

⁸ See Harvard Cyberlaw Clinic Comments, at 5.

⁹ These changes are noted in other comments. See Comments of the University of Southern California Cyberlaw Clinic at 9 (stating that the Commerce Committee report is not "trustworthy" due to the fact that the text of the rulemaking provision changed between reporting out of Committee and enactment).

¹⁰ Compare H.R. Rep. No. 105-551, at 2 with 17 U.S.C. § 1201(a)(1)(A), (B).

¹¹ See House Manager's Report, at 6 ("Adverse impacts that flow from other sources-including market- place trends, other technological developments, or changes in the roles of libraries, distributors or other intermediaries-or that are not clearly attributable to such a prohibition, are outside the scope of the rulemaking. So are mere inconveniences, or individual cases, that do not rise to the level of a substantial adverse impact."). See also, e.g., [Comments of the Software and Information Industry et al](#), Docket No. RM 99-7, at 6 (March 31, 2000); [Comments of the American Film Marketing Association et al](#), at 11-12 & n. 4 (March 31, 2000) (discussing legislative history of the "prohibition" language).

Nonetheless, some commenters (as well as the Office) have suggested that the anti-circumvention provisions have begun to be applied outside the areas in which Congress intended, specifically as applied to computer software. As the Office reviews section 1201, we urge it to reject knee-jerk suggestions that the emergence of new technologies and functionalities necessarily justifies amending the copyright laws to accommodate them.

The copyright laws generally are designed to be medium-neutral. With respect to computer programs, they receive the same, medium-neutral protection as any other kind of work except for exceptions permitting an owner of a copy to create a copy or adaptation “as an essential step in the utilization of the computer program in conjunction with a machine” and to make a backup copy.¹² The DMCA follows the same pattern: in the 1201 context, the sole additional exception relates to interoperability.¹³ In all other respects, section 1201 and its exemptions apply to computer programs based upon the same general principles that apply to other kinds of works.

The decision to keep the DMCA technology-neutral and to provide the opportunity that future works will be afforded the same protections as known works is important to continued innovation. By keeping the laws medium-neutral, those that develop new technologies and new works are guaranteed to receive the same protections as the developers of existing works. Similarly, companies that, as discussed above, heavily invest in existing technologies are able to rely upon the fact that copyright law will continue to protect their investments to the same extent as newer technologies.

The suggestion to revise the copyright laws each time a new technology is developed would threaten this careful balance. Instead, as crafted by the current legal regime, the courts have proven perfectly capable of applying the DMCA’s general principles to new technologies. To the contrary, advances in digital technologies have made the unauthorized copying and widespread distribution of

¹² 17 U.S.C. § 117. Of course, computer programs are not the only kinds of works subject to particular limitations. E.g., 17 U.S.C. § 113 (describing limits of protection for pictorial, sculptural, and architectural work); 115 (compulsory license for musical works); 111 (cable license).

¹³ 17 U.S.C. § 1201(f).

copyrighted works easier. Software piracy remains an enormous threat to the United States' position as a leader in computer innovation. If anything, additional protections are needed to safeguard the investments made by copyright holders against such acts. Such changes, like any other changes to the copyright laws, should only be made after careful reflection. Thus, those who would frame the essential copyright debates as between the content community, on the one hand, and the technology community, on the other hand, are missing an essential point: technology companies rely on copyright law protections just as media and entertainment companies do.

Against that backdrop, we view suggestions about the perceived need to amend the law through a particular lens: one in which technological protection measures have enabled legitimate DVDs, educational technologies, databases, and software as a service to proliferate. In particular, we agree with suggestions that the exemption in section 1201(f), combined with the rulemaking function, sufficiently handles any needs of interoperability. Thus, while we share the general consensus that the statute provides discretion to streamline the proof required to renew previously granted exemptions, nothing in this record has persuaded us that existing law should be changed.¹⁴

Thank you for considering our views.

Respectfully submitted,

/s/

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¹⁴ See *generally* Koch and Murphy, 1 Admin. L. & Prac. § 4:44 (3d ed.) (describing the leeway that agencies have with respect to informal records).